the Saradha scam also turned opinion strongly in favour of more regulation rather than less regulation of NBFCs.

The Jolt of the Saradha Scam

I was deeply distressed by the Saradha scam that erupted in West Bengal in April 2013 in which hundreds of thousands of low-income households who had invested their entire life savings in the Saradha Group of companies lost all of that money when the operations of the companies collapsed.

Although the details of the various schemes run by the Saradha Group with the money mobilized from the public and their legality are the subject matter of criminal prosecution currently under way, media reports indicate that the group collected around ₹200–300 billion from over 1.7 million depositors on the promise of investing the pooled funds in collective investment schemes, popularly but incorrectly called ‘chit funds’ in eastern India.[2] The group companies pooled the money they mobilized and invested it in a range of enterprises—tourism packages, forward travel and time share credit transfer, real estate, infrastructure finance and even motorcycle manufacturing. Reportedly, investors were not properly informed about what use their money was being put to, but were repeatedly assured that they would get handsome returns after a fixed period.

Here is a report titled ‘Sen’s “bluff”, in a nutshell’ that appeared in the *Telegraph* of Kolkata on 9 May 2013: ‘“Soon after the acquisition, Sen held an agents’ meeting at the Science City auditorium to inform everyone how his group was investing in the agro industry and hence, there should be no cause for concern about the future of the investments,” said a senior officer of the investigation team. “As with his other investments in industry, he knew from the beginning that there would be no production from the company. The move was aimed at encouraging his agents to bring in more funds. He would often tell the agents that Saradha’s assets were ten times that of its liabilities,” the officer said.’

The first signs of the impending collapse appeared in January 2013 when the group’s cash flow was, for the first time, less than its cash payout, an